

NY Session Trading Strategy

Complete Guide to the Concepts Behind ManipulationX V.6

SMT Divergence • Fair Value Gaps • Inverse FVGs
Draws on Liquidity • Manipulation • Killzones
V-Shape Reversals • The 3-Step Checklist

Based on the strategy by EzTrades

Contents

1. The Core Idea
2. Smart Money Concepts Overview
3. Fair Value Gaps (FVG)
4. Inverse Fair Value Gaps (IFVG)
5. SMT Divergence
6. Draws on Liquidity (DOL)
7. Manipulation & The NY Open
8. Killzones
9. V-Shape Reversals
10. The 3-Step Checklist in Practice
11. Putting It All Together: A+ Setup
12. Risk Management

1. The Core Idea

This strategy exploits predictable institutional order flow during the New York session open. The core insight is that every trading day, market makers and algorithms follow a script:

1. Before NY open, price has accumulated at levels where liquidity is clustered (equal highs, equal lows, trendlines).
2. At 9:30am EST, the market opens and makes an initial move in one direction. This is the **manipulation leg** — designed to trigger retail stop losses and build positions for the real move.
3. After the manipulation, price reverses sharply into a **V-shape inversion** and runs toward the opposite liquidity pool.
4. The reversal typically occurs when price taps into a higher timeframe **Fair Value Gap** — creating a confluence zone where smart money enters.

The entire strategy can be summarized as: **wait for the manipulation, identify the delivery context (FVG), confirm with SMT divergence, and enter on the IFVG.**

2. Smart Money Concepts Overview

This strategy is built on Smart Money Concepts (SMC) — the idea that central banks, institutions, and algorithms drive price movements, and retail traders are the liquidity they harvest. Understanding these concepts is essential:

Liquidity

Liquidity refers to clustered stop-loss orders resting below swing lows or above swing highs. Price is algorithmically driven to grab this liquidity before reversing. Retail traders place stops at obvious levels, and smart money targets these exact levels to fill large orders.

Displacement & Mitigation

When price moves aggressively through a level with high momentum, it creates a displacement. These displaced moves often leave behind Fair Value Gaps (imbalances) that price will later return to 'mitigate' before continuing. This is the foundation of the FVG concept.

Order Flow

The sequence of candles tells a story:

- **Manipulation candle:** A wide-range candle that sweeps a low/high (grabbing liquidity)
- **Reversal candle:** Immediately closes back in the opposite direction
- **Continuation candles:** Follow-through in the reversal direction

Reading this flow is more important than any single indicator. The ManipulationX tools simply make this flow visible at a glance.

3. Fair Value Gaps (FVG)

Definition

A Fair Value Gap (FVG) is a price imbalance created when a candle opens and closes outside the range of the previous candle, leaving a gap where price moved too quickly. These gaps represent inefficient price delivery — the market moved so fast that not all orders were filled. Price is naturally drawn back to these zones to 'fill the gap' (mitigation) before continuing.

How FVGs Form

Bullish FVG: Three-candle sequence: bearish, strong bullish, bullish. The middle bullish candle opens below the first candle's close and closes above its high, creating a gap between the first candle's high and the second candle's low.

Bearish FVG: Three-candle sequence: bullish, strong bearish, bearish. The middle bearish candle opens above the first candle's close and closes below its low, creating a gap between the second candle's high and the first candle's low.

The Importance of Timeframe

Higher timeframe FVGs (15-minute, 1-hour) act as **delivery magnets**. A 15-minute bullish FVG tells you that price wants to go up — it will likely sweep a low into that gap, then reverse and push higher. Trading against the HTF FVG direction is low-probability.

Key rule from the video: **Never short into a bullish FVG or long into a bearish FVG.** The FVG tells you where the market wants to go. Your trade should align with it.

"The 15-minute and 1-hour FVGs give me my delivery context. I want to see price delivering from a higher timeframe FVG." — EzTrades

4. Inverse Fair Value Gaps (IFVG)

Definition

An Inverse Fair Value Gap (IFVG) is the **entry trigger** for this strategy. It represents the moment when manipulation ends and the real move begins. It is the transition from liquidity grab to directional delivery.

Bullish IFVG Formation

1. A bearish 1-minute candle closes below the previous candle's low
(This sweeps liquidity — it triggers stops below the prior low)
2. The next candle immediately closes back **above** the bearish candle's high
(This is the inversion — trapped sellers are now underwater)

The zone between the bearish candle's high and low becomes the IFVG. The break above the high confirms the reversal and is your entry signal.

Bearish IFVG Formation

1. A bullish 1-minute candle closes above the previous candle's high
2. The next candle immediately closes back **below** the bullish candle's low

Same concept in reverse. Trapped buyers fuel the move down.

Why IFVGs Work

The IFVG captures the exact moment when smart money has finished accumulating their position during the manipulation leg and begins the distribution leg. The initial false breakout triggered retail stops; the immediate reversal traps those who chased the breakout, creating fuel for the reversal.

This is why the IFVG must happen **immediately** — a V-shape. If price lingers at the manipulated level, the trap didn't work.

"We waited for price to tap into this 15-minute gap and create a bullish SMT with ES. This is our manipulation leg. We take out all the retail, we immediately reverse on them, gives us our inverse fair value gap." — EzTrades

5. SMT Divergence

What is SMT?

SMT stands for Smart Money Technique. It is a form of **inter-instrument divergence** that compares two correlated assets to detect concealed institutional activity. The core idea: if two assets that normally move together suddenly diverge at a key swing point, one of them is revealing the true direction.

The NQ / ES Relationship

Nasdaq (NQ) and S&P 500 (ES) are the two most liquid index futures. They are highly correlated (typically >95%) but not identical. NQ is more volatile and tech-heavy; ES is broader. This slight difference creates opportunities for SMT analysis:

- When both make higher lows together — neutral, trend is up
- When both make lower lows together — neutral, trend is down
- When NQ makes a higher low but ES makes a lower low — **Bullish SMT divergence**
- When NQ makes a lower high but ES makes a higher high — **Bearish SMT divergence**

Bullish SMT Divergence

At a swing low point:

- **NQ** creates a **higher low** (did not break the previous low)
- **ES** creates a **lower low** (broke below the previous low)

Interpretation: ES swept liquidity (grabbed stops below the old low), but NQ held firm. This tells you that ES was used to manipulate the market down while NQ reveals the true bullish intent. Price is about to reverse up.

This is a powerful buy signal with high probability.

Bearish SMT Divergence

At a swing high point:

- **NQ** creates a **lower high** (failed to break the previous high)
- **ES** creates a **higher high** (broke above the previous high)

Interpretation: ES swept liquidity (grabbed stops above the old high) while NQ showed weakness. ES was used to manipulate the market up while NQ reveals bearish intent. Price is about to reverse down.

"SMT divergence is one of the most powerful confluences you can have when you are day trading Nasdaq. Whenever I have this formation where price is delivering from a 15-minute FVG, we have draws on liquidity higher, and we have an SMT divergence, this is a textbook trade." — EzTrades

6. Draws on Liquidity (DOL)

Concept

A Draw on Liquidity (DOL) is a price level where a significant number of stop-loss orders are clustered. These levels act as 'magnets' — price is algorithmically driven to grab this liquidity before reversing. Identifying DOLs before the session opens is the second step of the strategy checklist.

Types of DOLs

Type	Description	How to Spot
Equal Highs (EQH)	Two or more swing highs at the same price level.	Stop orders that align horizontally within a few ticks
Equal Lows (EQL)	Two or more swing lows at the same price level.	Stop orders that align horizontally within a few ticks
Trendline Liquidity	A series of higher highs or lower lows along a trendline.	One Breakdown increases swing points
External Liquidity	A swing high or low that is clearly beyond the current price.	Could be higher or lower for obvious extremes
Internal Liquidity	The most recent swing high or low within the current range.	Nearest obvious swing point

How DOLs Drive the Strategy

The strategy works because the market is predictable in its pursuit of liquidity:

1. Before 9:30am, mark all DOLs on your chart (both above and below current price)
2. At 9:30am, watch which DOL gets swept first (manipulation)
3. If price sweeps a low DOL and reverses, the high DOLs become your targets
4. If price sweeps a high DOL and reverses, the low DOLs become your targets

The strategy typically targets the **external** DOL for full take profit and uses **internal** DOLs for break-even or partial profit levels.

7. Manipulation & the NY Open

The 9:30am Script

The New York session open at 9:30am EST is the most predictable 30 minutes of the trading day. Here is what typically happens:

T-5 to T+0 (9:25-9:30): Price often sets up at a level near a DOL. Algorithms position themselves for the open.

T+0 to T+5 (9:30-9:35): The first candle prints. This is usually a manipulation candle that sweeps the nearest liquidity pool. This is designed to trigger retail traders.

T+5 to T+15 (9:35-9:45): Price either continues the manipulation or reverses sharply. This is the decision window. The IFVG will form here.

T+15 to T+30 (9:45-10:00): If the reversal is real, price now runs toward the opposite DOL. The move often accelerates into the 10:00am macro window.

Why This Happens

The NY open represents the convergence of global traders. London is still active, Asia is done, and US institutional traders are entering. This concentration of order flow creates predictable patterns:

- Algorithms need liquidity to execute large orders, so they intentionally trigger stops
- The manipulation sweeps are how they build their positions
- Once positioned, they reverse the price and distribute to latecomers
- The entire process takes 15-30 minutes, after which the trend is established

"I do not trade the first 5 minutes of market open. I need to let that initial manipulation move play out." — EzTrades

8. Killzones

Killzones are pre-defined trading sessions where volume and volatility are highest. The strategy focuses almost exclusively on the **New York Killzone**:

New York Killzone (09:30 - 16:00 ET)

This is the primary session. The first 30 minutes (09:30-10:00) contain the highest-probability setup. Over 70% of the strategy's trades occur within this window. The rest of the NY session can produce additional setups, but the quality declines after 11:00am.

London Killzone (03:00 - 12:00 ET)

Optional. The London open can provide context for the NY session (pre-NY highs/lows often act as DOLs). Some traders trade London exclusively, but this strategy is designed for NY.

The Macro Windows

Beyond the standard killzones, pay attention to these macro windows:

- **09:30am**: NY open — highest volume spike
- **10:00am**: Economic data releases, institutional rebalancing
- **11:30am**: Lunch hour begins — volume drops
- **02:00pm**: Afternoon session
- **03:30-04:00pm**: Close — position squaring

The 10:00am window is particularly important. Reversals at 10:00am have high volume confirmation and often lead to powerful moves.

9. V-Shape Reversals

What is a V-Shape Reversal?

A V-shape reversal is an immediate, aggressive turn in price with no consolidation or rounding. It looks like the letter 'V' on the chart (or an upside-down 'V' for shorts). This is the highest-probability entry pattern because it reveals urgent institutional buying or selling.

Characteristics of a V-Shape

- A sharp, one-sided move (often a single large candle)
- Immediate reversal on the next candle with equal force
- The reversal candle closes through the entire range of the manipulation candle
- High volume, visible as wide-range candles
- No hesitation — price doesn't consolidate, it just flips

V-Shape vs. Rounded Reversal

A rounded reversal (taking several candles to turn) is weaker. It suggests indecision. The V-shape reveals that smart money has finished accumulating and is now aggressively pushing price in the intended direction. This is why the strategy demands a V-shape: it's the signature of institutional order flow.

In the video, every A+ trade example shows a sharp V-shape reversal at the IFVG. If the reversal is slow or choppy, the trade quality is lower.

"Boom, instant V-shape reversal. Very small 1-minute candle, very obvious V-shape inversion. Stop loss below this displacement candle low, break even at this equal high." — EzTrades

10. The 3-Step Checklist in Practice

The indicator displays a permanent checklist. Here is how to execute each step in real time:

Step 1: NY Session (9:30am est)

Before 9:30am, have your chart open and ready. Mark the NY session on your chart (the indicator does this automatically with the killzone background). **Do not trade outside NY session.** This rule alone eliminates low-probability trading.

Step 2: Mark out DOLs / FVGs

Before 9:30am, identify:

- **DOLs:** Look for equal highs above and equal lows below current price. Also note any clear external swing highs/lows.
- **FVGs:** Check the 15-minute and 1-hour charts for active FVGs. These determine your bias. If a bullish FVG is below price, expect a sweep into it followed by a rally. If a bearish FVG is above, expect a rejection.

The indicator draws these automatically. Your job is to be aware of them.

Step 3: Entry Model (iFVG)

During the first 5-15 minutes after open, watch for:

- Price sweeps a DOL (manipulation)
- Price taps into a HTF FVG (delivery context)
- A bullish or bearish SMT divergence forms (confluence)
- An IFVG appears (entry signal)
- The reversal is V-shaped (high quality)

If all these align, enter immediately on the IFVG close. If some are missing, it's a lower-probability trade — consider skipping.

"This is my entire strategy given to you for free. Most of you guys are like 90% there. You're just missing that last 10%." — EzTrades

11. Putting It All Together: A+ Setup

The A+ Setup Checklist

From the video, here is the exact sequence of events that produces a 76%+ win-rate trade:

Time: NY session, 9:30-10:00am EST window

Context: Price is delivering from a 15-minute or 1-hour Fair Value Gap

DOLs: Clear external liquidity above (for longs) or below (for shorts)

Manipulation: Initial move (first 5-15 min) sweeps internal liquidity

SMT: Bullish SMT divergence at the sweep low (or bearish at the sweep high)

Entry: V-shape inversion creates an IFVG on the 1-minute chart

Stop: Below the IFVG candle body (longs) or above it (shorts)

Break Even: At the most internal structure high/low

Target: External DOL for full take profit (typically 1.5:1 RR)

Example: Long Setup

Price opens at 9:30am and immediately drops (manipulation). It sweeps below an internal low, tapping into a 15-minute bullish FVG that was identified pre-market. At the same time, ES makes a lower low while NQ holds a higher low — bullish SMT divergence. Within minutes, price V-shapes back up, creating an IFVG on the 1-minute chart. Entry is at the IFVG close, stop below the IFVG low, break even at the internal equal high, and target is the external equal high above.

Result: The trade triggers, hits break even, and then runs to full TP within minutes. The entire process takes 15-30 minutes.

Example: Short Setup

Same structure but inverted. Price opens and rallies above internal resistance (manipulation), tapping into a bearish FVG. NQ makes a lower high while ES makes a higher high (bearish SMT). Price reverses down with an IFVG. Entry on the IFVG, stop above, target the external low below.

"We have New York session open, price manipulates lower. We waited for price to tap into this 15-minute gap and create a bullish SMT with ES. This is our manipulation leg. We take out all the retail, we immediately reverse." — EzTrades

12. Risk Management

The strategy's high win rate (70%+) comes from strict adherence to the setup criteria. But even the best setups can fail. Here is the risk framework:

Position Sizing

- Risk 1-2% of account per trade
- The stop is tight (typically 5-10 points on NQ), so position size should be adjusted accordingly
- For prop firm evaluations, reduce risk to 0.25-0.5% per trade

Stop Loss Placement

- Primary: Below the IFVG displacement candle low (longs) or above its high (shorts)
- Secondary: Below the manipulation low (longs) if you want more room
- Never move your stop loss wider after entry. Only tighten it.

Take Profit Strategy

- **Partial (50%):** Take partial profits at the first internal structure (break even level)
- **Break Even:** Once partial is taken, move stop to break even on remaining position
- **Full TP:** External DOL (equal high/low, trendline, or obvious swing point)
- Typical RR: 1.5:1 to 2:1

When to Skip

The strategy is 'mechanical' for a reason. Skip trades when:

- No clear DOL is visible before the open
- No higher timeframe FVG is providing delivery context
- No SMT divergence forms at the manipulation point
- The reversal is not V-shaped (slow, choppy turn)
- It's Friday (the video mentions they didn't trade Friday)
- Major news events are within 30 minutes

"My risk reward is not the highest. I'm not claiming I hit 1:5, 1:10 risk reward trades. I mainly go for base hit trades, but I have a 70% plus win rate because I'm waiting for all of these confluences to line up." — EzTrades

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